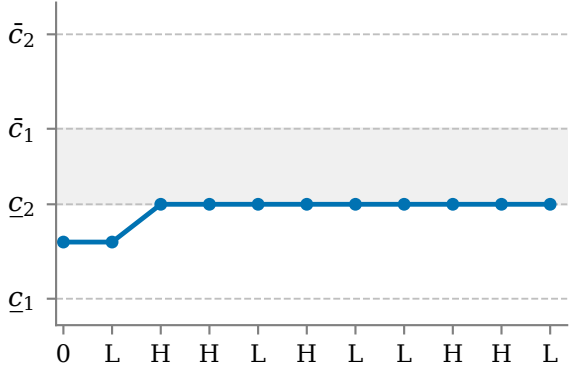
Initially in low band

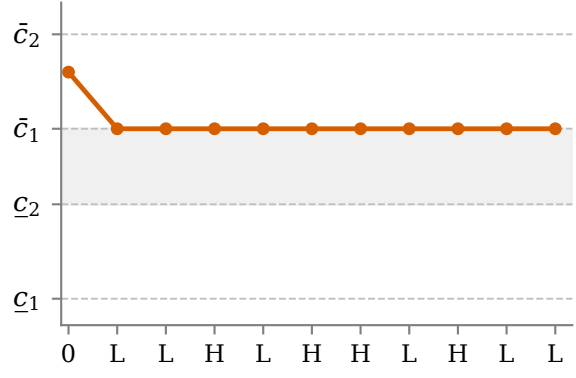
Consumption, c_t
(goods units)



Income state at t

Initially in high band

Consumption, c_t
(goods units)



Income state at t